

XYZ Manufacturing Ltd.

Quarterly Financial Report — Q1 FY26

Quarter ended June 30, 2025

Registered Office: 12 Industrial Estate, Pune, Maharashtra 411018

Listed on NSE and BSE (fictitious ticker: XYZMFG) | CIN L29999PN1995PLC000000

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Basis of preparation: These condensed financials are unaudited and prepared under Indian Accounting Standards. Amounts are in ₹ crore unless stated otherwise.

FICTITIOUS SAMPLE REPORT prepared for the FinSight X prototype evaluation. XYZ Manufacturing Ltd. is not a real company and all figures are illustrative.

1. Management Discussion & Analysis

Demand environment remains healthy and we continue to see strong order inflows across segments. The quarter saw continued ramp-up of export volumes and firm domestic demand for precision components. Capacity utilisation improved to 82%. The Board reviewed the funding plan for Phase II and the company continues to evaluate a mix of internal accruals and term financing for the balance capital expenditure.

“Liquidity remains strong, with comfortable cash buffers to fund our growth plans.”

Key risks include commodity price volatility, customer concentration, execution risks in the Phase II expansion, and refinancing of term loans maturing in FY27.

Risk update

Commodity prices (specialty steel, aluminium alloys) remain elevated relative to prior year. The company has partially hedged next-quarter requirements. Export customers contributed 34% of revenue; the top five customers together contributed 41% of revenue.

2. Operational Highlights

Production volumes grew 6.5% quarter-on-quarter. The Phase II capacity expansion programme (₹480 crore) progressed on schedule; commissioning of the Chennai line-2 is expected in Q4 FY26.

“Our working capital discipline continues to improve, supported by better receivables management.”

Headcount stood at 4,812. Employee cost for the quarter was ₹118 crore. Manpower productivity improved 4% year-on-year on the back of automation initiatives.

Segment performance

Automotive components	52% of revenue	growth 10% YoY
Industrial machinery	31% of revenue	growth 15% YoY
Exports & others	17% of revenue	growth 9% YoY

Customer concentration remains a monitored risk; the top five customers contribute 41% of revenue.

3. Statement of Profit & Loss

Revenue from operations for the quarter ended June 30, 2025 stood at ₹1,245 crore, up 8.2% year-on-year.

EBITDA margin declined to 19.9% primarily on account of higher raw material costs, which rose to 52.4% of revenue (Q1 FY26: 52.4%).

Finance costs for the quarter were ₹28 crore (Q1 FY26: ₹28 crore), reflecting higher average borrowings and effective interest rates.

Net profit for the quarter declined to ₹142 crore (Q1 FY26: ₹142 crore), impacted by higher finance costs and margin compression.

₹ crore	Q1 FY26
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Revenue from operations	1,245
Other income	12
Raw material cost (% sales)	52
Employee benefits expense	118
EBITDA	248
EBITDA margin (%)	20
Depreciation & amortisation	62
Finance costs	28
Profit before tax	170
Tax expense	28
Net profit	142
Net margin (%)	11

Other operating expenses are presented net of capitalisation. Figures may not add up due to rounding.

4. Balance Sheet (condensed)

Total borrowings (short-term and long-term) stood at ₹400 crore as at June 30, 2025. Short-term borrowings were ₹120 crore. Cash and cash equivalents stood at ₹186 crore.

Current liabilities increased to ₹486 crore, reflecting higher short-term borrowings and creditor dues.

Trade receivables were ₹312 crore (Q1 FY26: ₹312 crore) and inventories ₹245 crore (Q1 FY26: ₹245 crore).

₹ crore	Q1 FY26
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Cash and cash equivalents	186
Trade receivables	312
Inventories	245
Current assets (A)	690
Current liabilities (B)	486
Current ratio (A/B)	1.4
Short-term borrowings	120
Long-term borrowings	280
Total borrowings	400
Net debt	214
Debt / equity (x)	0.3
Net worth (equity)	1,280

Receivable days were 23 (Q1 FY26: 23) and inventory days 58 (Q1 FY26: 58).

5. Cash Flow Statement (condensed)

Net cash generated from operating activities was ₹72 crore for the quarter.

Net cash used in investing activities was ₹95 crore, primarily capital expenditure.

₹ crore	Q1 FY26

Operating cash flow	72
Investing cash flow	-95
Financing cash flow	26
Capital expenditure	95
Net change in cash	3.0

Interest coverage (EBITDA / finance cost) for the quarter was 8.9x (Q1 FY26: 8.9x). Debt / EBITDA (annualised) stood at 0.4x.

6. Notes to the Accounts

Capital expenditure of ₹95 crore was incurred during the quarter towards the Phase II capacity expansion (cumulative programme: ₹480 crore).
Term loans aggregating ₹180 crore mature in FY27 and are proposed to be refinanced. The company is in discussion with lenders; sanction is expected in Q1 FY27.

Debt maturity profile

Within 1 year	₹	120 Cr
1 - 3 years	₹	154 Cr
Beyond 3 years	₹	126 Cr

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